

**Before the
U.S. Copyright Office
Library of Congress**

In the Matter of:

Section 1201 Study: Notice and
Request for Public Comment

Docket No. 2015-8

COMMENTS OF THE ENTERTAINMENT SOFTWARE ASSOCIATION

The Entertainment Software Association (“ESA”) welcomes the opportunity to provide these Comments in response to the Copyright Office’s Notice of Inquiry (“NOI”) concerning the operation of Section 1201 of the Copyright Act.¹ ESA is the U.S. trade association serving companies that publish computer and video games for video game consoles, handheld gaming devices, personal computers, and the Internet. It represents nearly all of the major video game publishers and major gaming platform providers in the U.S.²

Section 1201 serves the public interest well. American life and culture has been tremendously enriched by new copyrighted works, and new ways to enjoy those works, that have been made possible by the protections provided by Section 1201. This is particularly true in the video game industry, where platform and content creators have brought to consumers a vast array of new game experiences, new ways to access and enjoy game content, and new ways to experience non-game content such as music, films, television shows and live sports programming. All of these innovations have been made possible by technological measures used to secure creative content and the software that permits consumers to buy and render it. And

¹ *Section 1201 Study: Notice and Request for Public Comment*, 80 Fed. Reg. 81,369 (Dec. 29, 2015).

² See <http://www.theesa.com/about-esa/members/> (listing ESA’s members).

while triennial rulemaking proceedings require substantial resources from the Office and all other significant participants, the breadth and importance of this process makes that result unavoidable. It is possible that some adjustments to the Copyright Office’s procedures for triennial rulemakings may be warranted, but overall, Section 1201 is doing a very good job of serving the purposes of copyright, including supporting innovation and promoting access to creative works.

I. Introduction

As the Office recognized at the conclusion of the sixth triennial rulemaking under Section 1201, the Copyright Act’s prohibitions on circumvention of technological protection measures have “played a critical role in the development of the digital marketplace that is a defining feature of modern life.”³ Specifically, when Congress enacted Section 1201, it anticipated that technological protection measures would be used to “support new ways of disseminating copyrighted materials to users.”⁴ That is precisely what has happened in the nearly twenty years since the DMCA. As a result, the anticircumvention provisions have “fostered widespread dissemination and enjoyment of creative works by establishing legal protections for copyrighted content”⁵

The NOI notes that “the use of technological measures has been useful in expanding consumer choice and the avenues for dissemination of creative works, for example movies and

³ *Recommendation of the Register of Copyrights in the Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention*, at 1 (Oct. 2015) [hereinafter “2015 Register’s Recommendation”]; see also 80 Fed. Reg. at 81,369 (referring to the “pivotal” role of the Digital Millennium Copyright Act (“DMCA”)).

⁴ Staff of H. Comm. on the Judiciary, 105th Cong., Section-by-Section Analysis of H.R. 2281 as Passed by the United States House of Representatives on August 4th, 1998, at 6 (Comm. Print 1998) [hereinafter “House Manager’s Report”].

⁵ 2015 Register’s Recommendation, at 1.

video games.”⁶ The Office’s reference to video games is appropriate, because the video game industry has been tremendously successful at providing Americans access to new works and new means of accessing works. About 80% of U.S. households own a device used to play video games, and 51% of U.S. households own a dedicated game console.⁷ Over 150 million Americans play video games, and 42% of Americans play video games regularly, or at least three hours per week.⁸ In addition to playing games, 54% of gamers who own consoles use them to watch movies, 33% use them to watch television shows, 27% use them to listen to music, and 20% use them to watch live and other content.⁹ In 2015, the industry generated U.S. revenues of \$23.5 billion from sales of hardware, game software, other content, accessories and services.¹⁰ Indeed, video games are “the fastest growing sector of the entertainment industry and an important driver of economic growth, creating millions of jobs, generating much-needed tax revenues and offering exciting opportunities for talented creators and engineers from all corners of the globe.”¹¹

This success depends significantly on the protections provided by Section 1201. Of course, video game publishers rely on access and copy controls to reduce infringement of the thousands of original video games they create each year. However, technological protection measures are used in the game industry to enable a much broader range of exciting new

⁶ 80 Fed. Reg. at 81,372.

⁷ ESA Essential Facts about the Computer and Video Game Industry, at 2 (Apr. 2015), *available at* <http://www.theesa.com/wp-content/uploads/2015/04/ESA-Essential-Facts-2015.pdf>.

⁸ *Id.*

⁹ *Id.* at 6.

¹⁰ ESA, U.S. Video Game Industry Generates \$23.5 Billion in Revenue for 2015, *available at* <http://www.theesa.com/article/u-s-video-game-industry-generates-23-5-billion-in-revenue-for-2015/>

¹¹ David Greenspan, S. Gregory Boyd and Jas Purewal, Video Games and IP: A Global Perspective, WIPO Magazine (Apr. 2014), *available at* http://www.wipo.int/wipo_magazine/en/2014/02/article_0002.html.

consumer offerings. Video game consoles are the center of an intellectual property ecosystem that makes a wide variety of copyrighted content easily and legally accessible. Each of the three major home consoles works in tandem with an integrated, console-specific online network.¹² These networks provide an array of functions in support of game play, including announcements for new games, downloading of games, enabling multiplayer game play, expansion packs and updates, tournaments, tracking of trophies and achievement badges, social and community features, and customization of avatars. These networks also provide access to non-game entertainment services, including movies, television shows, music and live sports programming. The creative content available through these networks comes from partners ranging from the largest media companies to the smallest independent producers and developers.

In addition to physical game consoles and their associated networks, consumers also may access, obtain and play video games through online game platforms, such as Electronic Arts' Origin¹³ and Blizzard's Battle.net.¹⁴ Separately, game publishers develop video game software for other multipurpose platforms, such as the Windows Store and Apple's App Store, which serve as digital hubs for games playable on mobile phones, tablets and PCs. Game publishers also offer games directly to consumers that are played exclusively online through a PC platform, in some cases through a game client that connects to the publishers' servers and often through a web browser interface.

To secure this content, the industry has designed technological protection measures to support the creation and distribution of copyrighted works. These controls enable the

¹² See, e.g., Xbox Entertainment, <http://www.xbox.com/en-US/entertainment?xr=shellnav>; Nintendo Wii U eShop, <http://www.nintendo.com/wiiu/eshop>; PlayStation Entertainment, <http://www.playstation.com/en-us/explore/playstationnetwork/apps-and-entertainment/>.

¹³ <https://www.origin.com/en-us/store/origin-access>.

¹⁴ <http://us.battle.net/en/>.

distribution of copyrighted works through physical media (*e.g.*, video game discs, DVDs, and Blu-ray discs), downloadable files (*e.g.*, video games, expansion packs, video game add-ins and television and movie programming), and live streaming (*e.g.*, online games, music, movies, and television programming), while preventing individuals from making unauthorized copies of this content, distributing it to others, or using a console to play infringing copies of such works.

These measures including access controls on video game consoles and other devices that ensure that content played on such devices is legitimate, and not infringing. The companies that create and make available games and other content for use on gaming devices depend on these access controls to prevent unauthorized copying of their content.

The game industry devotes significant resources on an ongoing basis to maintaining security for their games, platforms and non-game content distributed through their platforms. These efforts have helped reduce infringement. For example, a recent TorrentFreak article lamented that “increasingly pirates are being made to wait for big titles to have their protection defeated,” and that the security on one product was so good that a particular hacker “nearly gave up.”¹⁵ Still, games and the devices that play them are under constant assault by hackers, and numerous providers make available tools to assist others in hacking the security measures built into video game consoles.¹⁶

In the face of constant efforts to hack technological protection measures, the video game industry and its partners depend upon the legal protections provided by Section 1201 to provide consumers with exciting new content and new ways to obtain and interact with content. The

¹⁵ No More Pirated Games in Two Years, Cracking Group Warns, TorrentFreak (Jan. 6, 2016), *available at* <https://torrentfreak.com/no-more-pirate-games-in-two-years-group-warns-160106/>; *see also* Patrick Klepek, The Anti-Piracy Tech That’s Giving Hackers Fits, Kotaku (Feb. 17, 2016), *available at* <http://kotaku.com/the-anti-piracy-tech-thats-tearing-video-game-hackers-a-1759518600>.

¹⁶ *E.g.*, <http://jailbreaksoftwaredownload.com/xbox360-jailbreak/>; <https://hackmii.com/>; <http://sonyps3jailbreak.com/>; <http://www.modchipcentral.com/store/>.

video game industry has invoked the Copyright Act's protections against circumvention on a number of occasions¹⁷ and, indeed, has probably done so more than any other industry. Criminal prosecutions also have been brought to help reduce circumvention of protection measures used in game environments.¹⁸

If the technological protection measures that are applied to game consoles and works distributed through consoles legally could be circumvented, copyright owners would be less likely to make their highly valuable works available on consoles, and the American public would have less access to new works and new means of accessing works. While it is possible that the Office's study of Section 1201 will identify some adjustments to its procedures that would make the Section 1201 system operate even more effectively, the Office should exercise caution in evaluating any possible changes, because Section 1201 is working very well.

II. The Office's Specific Areas of Inquiry

General

1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).

As described more fully above, the protections provided by Section 1201(a) have been extremely important to the video game industry and its partners that distribute their non-game content through game consoles. While Section 1201(b) is important too, Section 1201(a) is

¹⁷ *E.g.*, *MDY Industries, LLC v. Blizzard Entertainment, Inc.*, 629 F.3d 928 (9th Cir. 2010); *Nexon American Inc. v. Kumar*, No. 2:11-cv-06991-ODW(PJWx), 2012 WL 1116328 (C.D. Cal. Apr. 3, 2012); *Sony Computer Entertainment America v. Zoomba LDC*, No. C 10-3909 VRW, 2010 WL 4512835 (N.D. Cal. Oct. 5, 2010); *Blizzard Entertainment, Inc. v. Reeves*, No. CV 09-7621 SVW (AJWx), 2010 WL 4054095 (C.D. Cal. Aug. 10, 2010); *Nintendo of America Inc. v. Chan*, No. CV 09-4203 JFW, 2009 WL 2190186 (C.D. Cal. July 21, 2009); *Epic Games, Inc. v. Altmeyer*, No. 08-CV-0764-MJR, 2008 WL 4853634 (S.D. Ill. Nov. 5, 2008); *Sony Computer Entertainment America, Inc. v. Divineo*, 457 F. Supp. 2d 957 (N.D. Cal. 2006); *Sony Computer Entertainment America, Inc. v. Filipiak*, 406 F. Supp. 2d 1068 (N.D. Cal. 2005); *Davidson & Associates, Inc. v. Internet Gateway, Inc.*, 334 F.Supp.2d 1164 (E.D. Mo. 2004); *Nintendo of America Inc. v. Bung Enterprises, Ltd.*, No. 97-8511-GAF (VAPx), 1999 WL 34975007 C.D. Cal. Dec. 14, 1999); *Sony Computer Entertainment America v. Gamemasters*, 87 F. Supp. 2d 976, 981 (N.D. Cal. 1999).

¹⁸ *E.g.*, *U.S. v. Reichert*, 747 F.3d 445 (6th Cir. 2014); *U.S. v. Silvius*, 559 Fed. Appx. 490 (6th Cir. 2014).

crucial, because the best way to secure a copyrighted work from unauthorized copying or other infringement is often to limit access to the work or to the software used to render the work (such as in the case of a video game platform). Through the use of innovative technological protection measures – backed up by the legal protections provided by Section 1201 – the video game industry has been able to make meaningful progress at combating infringement of the copyrights in video games, such that some hackers are now complaining that breaking the security measures applied to video games has become too hard. As a result, the industry has been able to provide secure distribution networks that are attractive to content partners. This has led to an outpouring of exciting new games, as well as new methods and business models for consumers to access games, game-related services, and non-game content. Section 1201 is, in the video game industry at least, a resounding policy success story.

2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

Section 1201 plays a vital role in enabling and protecting creative expression that lies “within the core of the copyright’s protective purposes,”¹⁹ such as video games.²⁰ Outside of core copyright concerns, Section 1201 already accommodates other interests in several ways. First, various “permanent” exemptions address government activities (Section 1201(e)), reverse engineering to achieve interoperability (Section 1201(f)), encryption research (Section 1201(g)) and security testing (Section 1201(j)). Second, the triennial rulemaking process provides a flexible means of accommodating interests outside of core copyright concerns in a way that a

¹⁹ *Campbell v. Acuff-Rose Music, Inc.*, 510 U.S. 569, 586 (1994).

²⁰ See generally Catherine Jewell, Video Games: 21st Century Art, WIPO Magazine (Aug. 2012), available at http://www.wipo.int/wipo_magazine/en/2012/04/article_0003.html.

permanent statutory provision never could.²¹ Finally, the courts have found sufficient flexibility in Section 1201 to address competitive concerns expressed as to cases arising from factual scenarios outside the usual core of copyright protection.²²

The last 20 years have seen an explosion of new works and new means to access works made possible by Section 1201, yet through these existing mechanisms, a wide array of interests that are outside of core copyright concerns have been accommodated. Any proposals to modify Section 1201 to address non-copyright concern should be evaluated with caution, to avoid creating loopholes that every hacker group in the world could rely upon to attack every technological protection measure with impunity, under the guise of a permitted use.

Rulemaking Process

3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

ESA does not believe that Section 1201 needs to be amended to provide for presumptive renewal of previously granted exemptions. Indeed, ESA believes that the triennial rulemaking process generally has worked satisfactorily to provide a safety valve so that Section 1201's important protections do not inadvertently create undue restraints on noninfringing and socially beneficial uses.

However, most people who have been involved significantly in a triennial rulemaking proceeding would likely agree that those proceedings are resource-intensive. Having

²¹ See 2015 Register's Recommendation, at 3, 241-44, 248.

²² See *Lexmark Intern., Inc. v. Static Control Components, Inc.*, 387 F. 3d 522 (6th Cir. 2004) (authentication of laser printer toner cartridges); *Chamberlain Group, Inc. v. Skylink Technologies, Inc.*, 381 F.3d 1178 (Fed. Cir. 2004) (interoperability of garage door openers).

participated in all six such proceedings,²³ ESA certainly holds that view. Thus, ESA agrees with the Office that it is attractive to look for ways to “streamline” such proceedings to “reduce administrative burdens on both the participants and the Copyright Office.”²⁴ Accordingly, ESA is open to the possibility of adjustments in the Copyright Office’s procedures to streamline the triennial proceedings within the current statutory framework, if the Office believes that such changes are warranted.

While statutory change is unnecessary, ESA would not oppose adjustments in the Copyright Office’s procedures to provide a presumption of renewal of a previously granted exemption by shifting the burden of persuasion for such renewal. This would not change the *de novo* nature of the review in each proceeding, but simply mean that where renewal was proposed with a claim that the circumstances that had justified the adoption of the exemption persist and support a renewal, and there was no opposition to such renewal (*e.g.*, suggesting that circumstances had changed), the exemption could be re-adopted in the same form previously adopted without further proof.²⁵ To the extent the Office may wish to modify its procedures to

²³ ESA sometimes has participated through joint comments filed with other copyright owner groups, and at the time of the first two triennial rulemakings was known as the Interactive Digital Software Association.

²⁴ 80 Fed. Reg. at 81,371.

²⁵ Historically, when exemptions covering similar subject matter have been adopted in sequential proceedings, they sometimes have remained the same and sometimes have been modified to address current products and use cases. For example, there have been exemptions to permit the blind, visually impaired and print-disabled to access e-books and similar products since the second triennial rulemaking. See 68 Fed. Reg. 62,011, 62,014 (Oct. 31, 2003). A modified version of the exemption was adopted in the third triennial proceeding. *Recommendation of the Register of Copyrights in RM 2005-11*, at 40-42 (Nov. 2006). The same exemption was readopted in the fourth proceeding. 75 Fed. Reg. 43,825, 43,838-39 (July 27, 2010). By the fifth proceeding, “the marketplace was very different,” so the exemption was revised again. See 77 Fed. Reg. 65,260, 65,262-63 (Oct. 26, 2012). The exemption was readopted without material change in the sixth proceeding. 80 Fed. Reg. 65,944, 65,950 (Oct. 28, 2015). Similarly, in the first triennial proceeding, the Librarian adopted an exemption for literary works protected by access controls that malfunctioned or had become obsolete. 65 Fed. Reg. 64,556, 64,574 (Oct. 27, 2000). In the second triennial proceeding, the Office adopted a pair of exemptions addressing similar issues, but limited only to computer programs (including in one case video games) and in more specific circumstances. 68 Fed. Reg. at 62,018. The Librarian adopted similar exemptions in the third triennial proceeding, but with further changes in scope and clarifications. 71 Fed. Reg. 68,472, 68,480 (Nov. 27, 2006). One of those exemptions was proposed for

provide a presumption of renewal of unopposed exemptions, ESA encourages the Office to incorporate a mechanism to ensure that the regulations implementing Section 1201 do not become a repository for outmoded and unnecessary exemptions that continue only because nobody cares enough to address them one way or the other. In the past, when exemptions have become irrelevant, gone unused, or been viewed as not important enough to pursue, they have been retired without significant controversy or obvious adverse consequences.²⁶ It would be desirable to retain some form of periodic review to ensure that only exemptions that are current and important remain on the books.

ESA also notes that the Office has already eased the burden of proof on those who favor continuation of an exemption, by specifying that a *prima facie* case for readoption of an existing exemption need only “demonstrat[e] that the conditions that led to the adoption of the prior exemption continue to exist today.”²⁷ That existing provision comes close to a presumption of renewal. Accordingly, it may well be that the perceived benefits of a presumption of a renewal could be substantially realized, while ensuring that the list of exemptions remains relevant, simply by allowing proponents of continuing existing exemptions to make their *prima facie* cases during the petition phase, and requiring any opponents to indicate their intent to oppose at an early stage. Doing so would help all interested parties determine whether meaningful

continuation in the fourth triennial proceeding with additional modifications, but the Librarian decided to readopt the exemption without the proposed modifications. 75 Fed. Reg. at 43,833-34.

²⁶ For example, in the fifth triennial proceeding, no one re-proposed the exemption for malfunctioning and obsolete access controls discussed above in note 25. A similar exemption targeted to a particular product was proposed in the sixth triennial proceeding and rejected for lack of evidence. 80 Fed. Reg. at 65,961. As a further example, an exemption for compilations consisting of lists of websites blocked by filtering software was adopted in the first triennial proceeding. 65 Fed. Reg. at 64,574. A similar exemption was adopted in the second triennial proceeding. 68 Fed. Reg. at 62,018. It was proposed for readoption in the third proceeding, but the Librarian discontinued it, due to a lack of evidence that it remained relevant. 71 Fed. Reg. at 68,477-78.

²⁷ 80 Fed. Reg. at 65,945; *see also* 79 Fed. Reg. 55,690 (Sept. 17, 2014) (“Assuming the proponent succeeds in making such a demonstration, it is incumbent upon any opponent of that exemption to rebut such evidence by showing that the exemption is no longer justified.”).

controversy exists, allow proponents to avoid unnecessary expenditures of resources to build a case that no one planned to oppose, and in the absence of opposition, permit the Office to focus its efforts on determining whether the conditions that led to the adoption of the exemption continue to exist.

4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

Triennial rulemakings are burdensome and expensive for copyright owners because proponents have placed at issue almost every meaningful use of technological protection measures, including ones that are important to protecting valuable expressive works from large-scale infringement, even though the Office has historically rejected the majority of proposed exemptions. Moreover, even if an exemption has been soundly rejected once, some proponent will often try again. Under those circumstances, it seems to ESA that a way to keep triennial proceedings manageable in scope is to rigorously enforce the current standards of proof for new exemptions (and changes to existing exemptions). The triennial rulemaking was intended as a “‘fail-safe’ mechanism” to provide an exemption if “‘someday” it should prove “‘necessary” to ensure access “‘important to education, scholarship, and other socially vital endeavors.”²⁸ Consistent with that intention, the “‘main focus” of the proceeding should be on whether “‘a substantial diminution of [the availability of works] is *actually occurring*.”²⁹ If rulemaking participants understand that proposed exemptions will be granted only when they are genuinely necessary to enable significant lawful activities, and do not threaten legitimate markets for copyrighted works, proponents will be motivated to seek exemptions only when there is a good

²⁸ H.R. Rep. No. 105–551, pt. 2, at 36 (1998).

²⁹ House Manager’s Report, at 6 (emphasis in original).

case for them. Any weakening of the high standards that should apply invites proposals to create exemptions based on hypothetical fears, *de minimis* experience or mere inconvenience.

Moreover, just as the Office has already lowered the standard of proof where an exemption has previously been granted, ESA believes the Office should consider modification of the standard of proof where a similar proposed exemption has previously been *rejected*. For example, in the fifth triennial proceeding, the Office received a proposal to create an exemption for circumvention of access controls on video game consoles.³⁰ The Librarian rejected this proposal, agreeing with the Register that “[c]onsole access controls . . . provide important incentives to create video games and other content for consoles, and thus play a critical role in the development and dissemination of highly innovative copyrighted works.”³¹ When a similar exemption was proposed in the sixth triennial proceeding, it was again rejected.³² To avoid wasting the resources of the Office and copyright owners revisiting issues that have previously been decided, proponents of an exemption that has previously been rejected should be required to show what conditions have changed that would compel a contrary decision in a subsequent rulemaking.

5. Please provide additional suggestions to improve the rulemaking process.

As indicated in the NOI and in ESA’s responses above, the triennial rulemaking process has become quite involved. In large part that may simply be the necessary result of a process that potentially implicates a wide range of technologies and use cases, and has motivated proponents to seek exemptions even when the case for them seems thin. Thus, while ESA would

³⁰ 77 Fed. Reg. at 65,272.

³¹ *Id.* at 65,274.

³² 80 Fed. Reg. at 65,961.

in principle be receptive to ways to streamline the rulemaking process, ESA has no other specific suggestions to make at this time.

Anti-Trafficking Prohibitions

6. Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.

The antitrafficking provisions of Section 1201 are extremely important to deterring copyright infringement, as Congress has recently affirmed.³³ Accordingly, ESA does not support any amendments to those provisions. As described above, copyright owners depend upon technological protection measures when making decisions about creating and releasing new product and service offerings. Once made available to the public, those offerings are under constant assault by hackers. The antitrafficking provisions are a critical component of the legal regime to protect copyrighted works from that onslaught.

In the case of video games and other entertainment content available through gaming devices, circumvention of access controls on gaming devices is closely connected with infringement. The video game industry has demonstrated that technology itself can sometimes make strides against the constant onslaught of hackers. However, with hackers working hard to break every new security measure, video game companies still face a constant battle against large-scale infringement. A common business model for commercial operators to profit from video game infringement is to sell circumvention technology or services for a fee to enable customers to play infringing games on their consoles, and set up websites to monetize the distribution of infringing game files (typically through the sale of advertisements on the site).

³³ In the Trade Facilitation and Trade Enforcement Act, Congress recently authorized customs seizure of circumvention devices, demonstrating its desire to strengthen rather than weaken the antitrafficking protections of Section 1201. See Pub. L. No. 114-125 § 303 (enacted Feb. 24, 2016).

ESA also sees commercial operators selling circumvention technology packaged with infringing copies of games (*e.g.*, circumvention devices preloaded with games, circumvention software accompanied by a hard drive of infringing games).

Under these circumstances, it is important to be able to back up technological measures with legal protection, just as Congress perceived in enacting the DMCA. Specifically, where both circumvention technology and infringing content are independently available from many sources, it is important that copyright owners be able to target not only the infringement, but also the trafficking in circumvention technology to reduce the attractiveness of the business models described above. Being able to target trafficking is also important because the actions of distributors of circumvention technology are comparatively easy to detect, and targeting them is the most effective and efficient way to protect the rights provided by Section 1201.³⁴

If it were not possible to target distributors of such technology, and if the only means of enforcing Section 1201 were to sue individual users for particular instances of circumvention, the legal protections provided by Section 1201 would effectively be a nullity. This conclusion has been confirmed by the experience of video game companies in countries without robust antitrafficking provisions. In such countries, the people really profiting from circumvention are effectively untouchable, and prohibitions on circumvention per se are of little practical utility in preventing large-scale infringement. Curtailing the U.S. antitrafficking provisions would certainly lead to an increase in infringement.

³⁴ See S. Rep. 105-190, at 28 (1998) (antitrafficking provisions included “to provide meaningful protection and enforcement”).

7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

Because the antitrafficking prohibitions are so critical to the operation of Section 1201 – and to effective copyright protection for video games and other content distributed through gaming platforms – ESA is skeptical of any suggestions to relax those provisions and does not support any amendments to Section 1201 at this time. ESA has seen no evidence that persons with a genuine need and desire to engage in permitted circumvention for noninfringing purposes, and who lack the ability to do so themselves, have been unable to acquire tools and assistance. Instead, there is a very real risk that if exemptions to the antitrafficking provisions were provided for limited purposes, it would effectively become impossible to enforce those provisions for any purpose, because distributors of circumvention technologies that could be used for both legal and illegal purposes would purport to serve the legal market while profiting from the widespread use of their product for illegal purposes.

III. Conclusion

ESA welcomes the Office’s examination of the operation of Section 1201 of the Copyright Act and agrees that it may be possible to make the Section 1201 system operate even better with some minor adjustments. However, ESA urges the Office to keep a clear eye on Section 1201’s tremendous record of success at reducing infringement and promoting the creation and dissemination of new creative works. The Office should proceed cautiously to ensure that Section 1201 continues to perform its vital role in opening new markets for creative expression.

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